their own mutual fund portfolios that will fit their financial planning objectives. The funds are invested in a portfolio of marketable securities, reflecting the investment objective. The value of the portfolio and investors' holdings alter with change in the market value of investments.

Mutual funds predominantly invest in equity shares and debt instruments. Under *equity funds*, one can invest in diversified equity schemes, primary market schemes, index based funds, and sectoral funds.

Debt funds invest predominantly in debt markets. Diversified debt funds, income funds, gilt funds, liquid and money market funds, fixed term plans, and floating rate funds are among the categories of debt funds. While equity funds suit growth objectives, debt funds fit income objectives.

Mutual fund houses also offer *balanced funds* and *money market funds.* Balanced funds invest in equity and debt in specified proportions while money market funds are preferred by institutional investors which churn their investments depending on the need and view.

NARROW BANKING

Short-term lending in risk-free asset is narrow banking. A suggestion for such banking was given by the Committee on Financial System (CFS) in 1991 for the weak banks of India.

NASDAQ

The National Association of Security Dealers Automated Quotation (NASDAQ) is a US stock exchange based in New York which specialises in the high-tech companies' shares. A similar exchange *Techmark* exists in London too. (It is an arm of the London Stock Exchange.)

NASH EQUILIBRIUM